

Particulars	Strike Price	Price
1 Nifty put bought	25,000	₹160
2 Nifty puts sold	24,750	₹70

Here, the margin required is ₹2,25,000.
Let us calculate the rewards, costs, and risks.

$$\begin{aligned} \text{Net premium paid} &= ₹160 - (2 \times ₹70) = ₹20 \\ \text{Break-even point (BEP)} &= 25,000 - ₹20 = 24,980 \\ \text{Reward} &= (\text{Spread} - \text{Net premium paid}) \times \text{Lot} \\ &\text{size} = 250 - ₹20 = ₹230 \end{aligned}$$

Nifty below of which loss is unlimited = Lower strike price - Reward = 24,750 - ₹230 = 24,520

Let's see what happens in different scenarios:

Particulars	Nifty above 25,000	Nifty at 24,980	Nifty at 24,750	Nifty below 24,520
Outcome of buying 25,000 put	Premium of ₹160 lost	Loss = 25,000 - 24,980 - ₹160 = ₹140	Gain = 25000 - 24750 - ₹160 = ₹90	Gain = 25,000 - Nifty - ₹160
Outcome of selling 24,750 puts	Premium of ₹140 gained	Premium of ₹140 gained	Premium of ₹140 captured	Unlimited loss
Net outcome	Loss of ₹20	No gain, no loss	Gain of ₹230	Unlimited loss

Suppose Nifty rises above 25,000. The premium captured from selling Nifty 24,750 puts will offset the premium paid to cap your loss at ₹20. If Nifty falls below 24,520, unlimited losses from the two sold puts will exceed the gains from the purchased put. Let us visualise these pay-outs.